

Launch of the AI Services Market Study

- The KFTC launches a study to analyze the structure, competitive landscape, and transaction practices in the Korean AI services market –

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Anti-Monopoly Policy Division

The Korea Fair Trade Commission (KFTC, Chairperson Biung-Ghi Ju) will conduct a “Study on the AI Services Market” from May 21, targeting major Korean and international companies participating in the local AI services market.

This study follows the KFTC’s 2024 market study covering the overall AI market—including AI infrastructure development, AI foundation model development, and AI service provision—and the 2025 survey on the data sector in AI infrastructure. This year’s study aims to analyze and examine transaction practices and competitive conditions in the domestic AI services market.

As AI technology rapidly advances, services are now capable of performing a broader range of functions than before. AI technologies have also been integrated into major products and services closely related to daily life, such as smartphones, automobiles, web browsers, and social media, enabling users to access AI services more easily.

The integration of AI promotes innovation and competition in related products and services and enhances user benefits. However, concerns have also been raised about competition-restricting factors, such as increasing market concentration in the hands of a few firms within the AI services market, as well as consumer harm issues including AI-generated false or exaggerated advertisements. In response, major competition authorities around the world—including those in the United Kingdom, France, and Australia—are actively conducting research and analyses* focusing on the AI services market within the overall AI value chain.

** CMA (UK) and others published the report “The Future of Agentic AI” (March 2026)*

FCA (France) launched market studies related to conversational agents and agentic commerce (January 2026)

ACCC (Australia) published the report “Recent Developments in Artificial Intelligence” (December 2025)

Since various startups, along with large corporations and global AI developers, are developing and offering AI services in Korea, the KFTC decided to launch the new market study. The study will be conducted pursuant to Article 87 (1)* of the Monopoly Regulation and Fair Trade Act in order to identify the market structure and competitive conditions of the domestic AI services sector and proactively analyze potential competition and consumer issues that may arise in the future.

** Article 87 (Written fact-finding surveys) (1): The Fair Trade Commission may conduct a written fact-finding surveys on a particular business area and publish the results thereof in order to establish fair trade order in such business area.*

Prior to launching the market study, the KFTC gathered opinions from industry participants, including domestic and foreign AI service developers, as well as experts from academia and other relevant fields, in selecting the companies subject to the study and the items to be examined.

The market study will be conducted in two stages. First, the KFTC will survey 29 “major Korean and

foreign AI service developers” that provide AI services to domestic users, as well as 17 “major Korean and foreign providers of products incorporating AI services” that offer products or services embedded with either their own or third-party AI services.

The main study items include: ▲ the current status of AI service businesses and transactions related to the integration of AI services, ▲ the competitive landscape in the AI services market, ▲ methods of providing AI services to consumers and other users, and ▲ experiences relating to anti-competitive or unfair trade practices.

In addition, considering that this study focuses on the AI services market that is closely connected to consumers’ daily lives, the KFTC plans to conduct a second-stage survey in July 2026 targeting actual users of AI services. This survey will examine consumer usage patterns of AI services and the level of consumer awareness regarding AIs embedded in products and other services.

The Commission plans to closely analyze the results of the market study and continue communicating with participants in the AI services market as well as experts from academia and related fields. It will also continue its efforts to foster a fair competition environment in the AI market. As part of those efforts, the KFTC will publish a policy report later this year titled “AI Downstream Markets and Competition,” which will outline its future competition policy directions.

** The Korean version of this documents is the original; the English version is provided for reference only.*